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Lululemon Athletica Inc. | North America

Underweight Unpacked: Why ‘Shrink to Grow’ Is the Next Chapter for LULU

Three independent frameworks suggest LULU's Americas business is materially larger than its sustainable revenue base. This increases the likelihood that new management adopts a ‘shrink to grow’ strategy, which we believe would drive another leg of negative earnings revisions.

Our Underweight rating reflects our view that consensus underestimates the risk of a deeper & longer Americas reset, while simultaneously overestimating the China opportunity. Accordingly, we forecast a ~LSD % growth profile & ~\$10-11 in EPS power vs. the Street’s ~MSD % & ~\$12 view, respectively – creating a negative earnings revision path (more [here](#)).

A common investor question following our resumption has been: **How much smaller should Lululemon's Americas business ultimately be?** While no single methodology provides a definitive answer, every framework we examined reaches the same conclusion – consensus is underwriting an Americas business that is too large. More specifically, across three independent analyses, our work supports an Americas business in the **~\$3-6.5B** range, well below the Street's **\$7B+** expectation for 2026-2028e.

#1 Peer precedent analysis implies a ~\$3-5B Americas business. Benchmarking LULU against the historical growth trajectories of global sportswear & multi-brand specialty peers supports an outcome of roughly \$5B, while single-brand fashion peers point to ~\$3B. Collectively, peer precedent analysis implies an Americas business ~25-60% smaller than consensus' 2026e estimate. See [Exhibit 1](#).

#2 A “normalized-growth” framework supports a \$6B+ Americas business. If LULU had compounded Americas revenue closer to its pre-pandemic growth rate (~low-teens %), rather than benefiting from the extraordinary ~mid-20% pandemic-era acceleration, today's business would likely be ~\$6.5B – still about 10% below the Street's 2026e estimate. See [Exhibit 2](#).

#3 Our proprietary scale framework points to a \$3-7B Americas business. Last fall, we developed a proprietary framework examining the characteristics of scaled Softlines businesses across ten structural criteria (more [here](#) & [here](#)). Applying that work to LULU suggests its Americas business most closely resembles peers generating \$3-7B in annual revenue, again pointing to an Americas business materially smaller than consensus currently assumes. See [Exhibit 3](#).

Taken together, these analyses suggest **LULU's Americas business is structurally larger than its sustainable level**. In our view, this increases the likelihood that new

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Lululemon Athletica Inc. (LULU.O, LULU US)					
Retail, Specialty Retail United States of America					
Stock Rating	Underweight				
Industry View	Attractive				
Price target	\$93.00				
Shr price, close (Jul 21, 2026)	\$116.63				
Mkt cap, curr (mm)	\$13,469				
52-Week Range	\$230.50-104.44				
Fiscal Year Ending	01/26	01/27e	01/28e	01/29e	
EPS (\$)**	13.26	10.33	10.35	10.52	
ModelWare EPS (\$)	13.29	10.35	10.35	10.52	
Prior EPS (\$)**	-	-	-	-	
P/E	13.1	11.3	11.3	11.1	
EPS (\$) _{\$}	-	10.98	11.34	12.62	
Div yld (%)	0.0	0.0	0.0	0.0	

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
\$ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)					
Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	2.60	-	1.69a	-	-
Q2	3.10	-	1.77	-	-
Q3	2.59	-	2.17	-	-
Q4	5.01	-	4.76	-	-

e = Morgan Stanley Research estimates, a = Actual Company reported data

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management ultimately embraces a 'shrink to grow' strategy, requiring a longer Americas reset than consensus currently models, & driving another leg of negative EPS revisions.

Exhibit 1: Our peer growth trajectory analysis suggests LULU's Americas business enjoyed outsized growth relative to brands that previously scaled to ~\$3.5B in Americas sales.

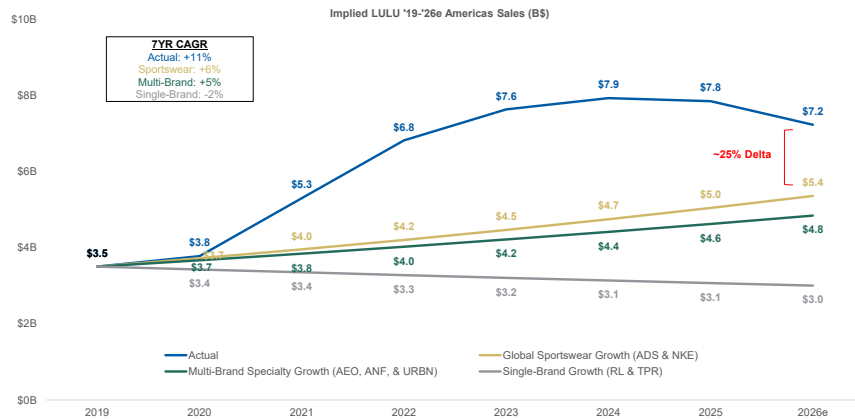


Exhibit 2: Assuming LULU Americas had not seen such outsized topline growth acceleration starting in '18 onwards, & instead continued to grow at '16-'17 levels, the business would be over ~10% smaller today.

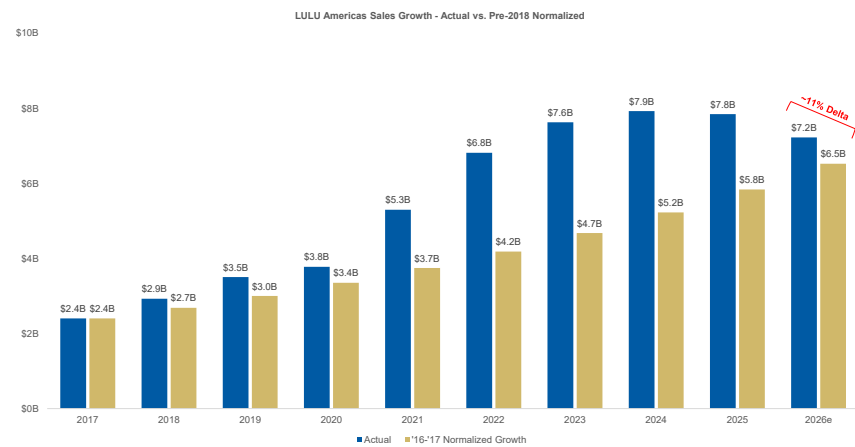


Exhibit 3: Our scale analysis indicates that LULU Americas has the characteristics of a business that is typically \$3-7B in size – below its current \$7B + levels.

Criteria	Assessment	Opportunity
Mostly DTC	+	\$10-20B
Mostly Female	=	\$7-10B
Customer Age < 35	=	\$7-10B
Lifestyle-Skewed	=	\$7-10B
Multiple Brands	-	\$3-7B
Company Age > 50	-	\$3-7B
Large Non-Apparel Exposure	-	\$1-3B
Mostly Mass & Luxury	-	\$1-3B
Criteria Output	-	\$3-7B
2025 Americas Size		\$7.8B
Consensus 2026e Americas Size		\$7.2B

Source: Morgan Stanley Research

Risk Reward – Lululemon Athletica Inc. (LULU.O)

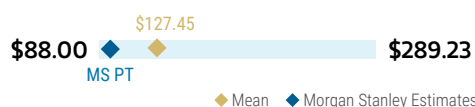
Americas Reset Deeper, China Upside Overestimated

PRICE TARGET \$93.00

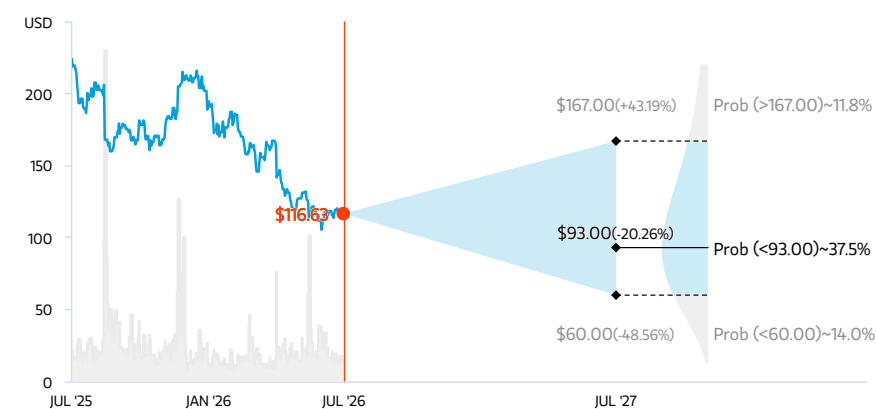
In our base case, we implement a DCF with a 12% terminal EBIT margin & a 0% terminal growth rate.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



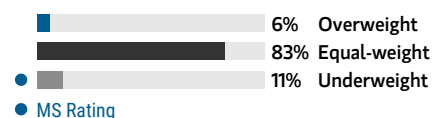
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

UNDERWEIGHT THESIS

Our Underweight rating reflects our view that consensus underestimates the risk of a deeper & longer Americas reset, while simultaneously over-estimates the China opportunity from here. This would make for a ~LSD % growth profile vs. consensus' ~MSD % expectation. Considered alongside a more conservative margin trajectory than the Street, we think LULU may remain a ~\$10-11 EPS power business M-T, below consensus' \$12, & coming with negative EPS revision risk.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Contrarian: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$167.00

~14x Bull Case FY26e EPS

In the M-T, revenue grows +5% y/y on average from '27e-'30e, & EBIT margins expand back to ~20%. DCF contemplates 0.5% terminal growth & ~20% terminal EBIT margin.

BASE CASE

\$93.00

~9x Base Case FY26e EPS

In the M-T, revenue grows +2% y/y on average from '27e-'30e, & EBIT margins contract to ~13%. DCF contemplates 0% terminal growth & ~12% terminal EBIT margin.

BEAR CASE

\$60.00

~7x Bear Case FY26e EPS

In the M-T, revenue declines -2% y/y on average from '27e-'30e, & EBIT margins contract to ~HSD % by '30e. DCF contemplates -1% terminal growth & ~9% terminal EBIT margin.

Risk Reward – Lululemon Athletica Inc. (LULU.O)

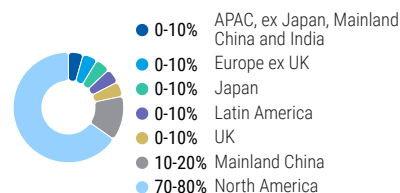
KEY EARNINGS INPUTS

Drivers	Jan 2026	Jan 2027e	Jan 2028e	Jan 2029e
Sales (\$, mm)	11,103	10,985	11,131	11,367

INVESTMENT DRIVERS

- Comp: Historical positive trend both in stores and online
- International Sales Growth: '26 plan embeds 4x sales expansion
- Men's Sales Growth: '26 plan embeds 2x sales expansion
- eComm Sales Growth: '26 plan embeds 2x sales expansion
- EBIT Margin

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Sooner-than-expected Americas return to growth
- Stronger China momentum is sustained as business successfully scales to the size of NKE/ADS in the region
- GM expands back to high-50s % peak levels as promotional levels normalize

RISKS TO DOWNSIDE

- Steeper Americas declines or China deceleration
- GM reversion closer to historical low-50s % levels as promotional levels heighten
- Additional SG&A investment &/or deleverage

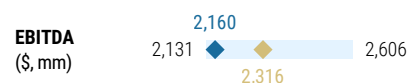
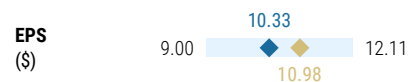
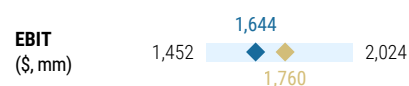
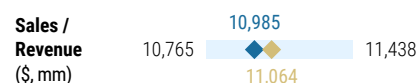
OWNERSHIP POSITIONING

Inst. Owners, % Active	43.5%				
HF Sector Long/Short Ratio	1.7x				
HF Sector Net Exposure	11.1%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jan 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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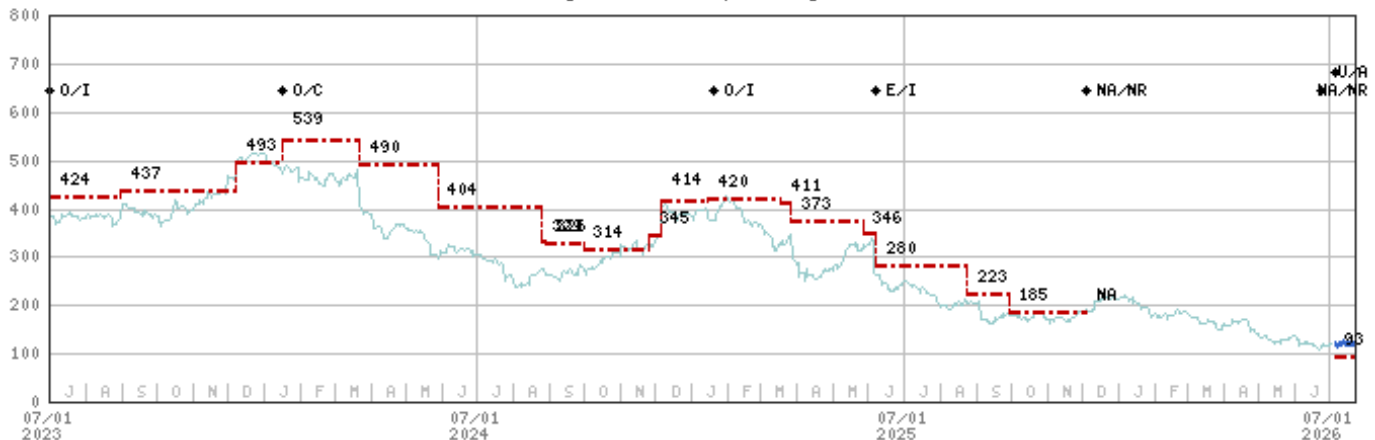
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Stock Price, Price Target and Rating History (See Rating Definitions)

Lululemon Athletica Inc. (LULU.O) - As of 07/22/26 GMT in USD
Industry : Retail, Specialty Retail



Stock Rating History: 7/1/21 : E/C; 5/25/22 : O/C; 9/2/22 : O/C; 1/17/23 : O/I; 1/16/24 : O/C; 1/20/25 : O/I; 6/8/25 : E/I;
12/4/25 : NA/NR; 6/24/26 : NA/NR; 7/5/26 : U/A

Price Target History: 5/28/21 : 377; 7/19/21 : 411; 9/8/21 : 419; 12/9/21 : 404; 1/10/22 : 300; 4/20/22 : 339; 5/25/22 : 303;
6/15/22 : 315; 9/2/22 : 343; 12/8/22 : 387; 4/17/23 : 405; 6/2/23 : 424; 8/31/23 : 437; 12/7/23 : 493; 1/16/24 : 539; 3/22/24 : 490;
5/28/24 : 404; 8/25/24 : 329; 8/29/24 : 326; 9/30/24 : 314; 11/25/24 : 345; 12/5/24 : 414; 1/14/25 : 420; 3/18/25 : 411;
3/27/25 : 373; 5/27/25 : 346; 6/8/25 : 280; 8/25/25 : 223; 9/29/25 : 185; 12/4/25 : NA; 7/5/26 : 93

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Retail, Specialty Retail

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/21/2026)
Alex Straton		
Abercrombie & Fitch Co. (ANF.N)	E (07/05/2026)	\$92.06
American Eagle Outfitters, Inc. (AEO.N)	E (07/05/2026)	\$17.36
Bath & Body Works, Inc. (BBWI.N)	E (07/05/2026)	\$20.27
Gap Inc (GAP.N)	E (07/05/2026)	\$19.60
Lululemon Athletica Inc. (LULU.O)	U (07/05/2026)	\$116.63
Tapestry Inc (TPR.N)	O (07/05/2026)	\$142.16
Torrid Holdings Inc. (CURV.N)	E (07/05/2026)	\$2.32
Urban Outfitters Inc. (URBN.O)	O (07/05/2026)	\$73.74
Victoria's Secret & Company (VSXY.N)	O (07/05/2026)	\$87.09

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* Historical prices are not split adjusted.